

Treasury Stock

When a company has stock, it can issue any number of shares—not all of which can be purchased. Purchased shares are considered outstanding shares and these shares have rights in the company (e.g., voting, receiving dividends, etc.). Shares that have not been sold, or have been sold and later bought back, are considered treasury stock. When a company computes earnings per share (i.e., how much money each share of stock made), treasury stock is not included in the calculation.

Retained Earnings

Retained earnings for a corporation is the cumulative earnings since the company started minus any dividends paid to stockholders. Technically, this money is owned by the stockholders but, in actuality, the company's senior management or board of directors decide how much to issue to stockholders as dividends. For example, if the company is planning a future expansion, they might "appropriate" retained earnings rather than declare dividends with the money.

Example Equity Account for a Corporation

The example below shows how a corporation might structure its equity accounts:

- 3000 Stockholder Equity
 - 3100 Common Stock
 - 3110 Paid-in Capital
 - 3120 Excess Paid-in Capital
 - 3200 Preferred Stock
 - 3210 Paid-in Capital
 - 3220 Excess Paid-in Capital
- 3500 Retained earnings
 - 3510 General Retained Earnings
 - 3520 Reserved for future expansion
- 3900 Treasury Stock

Revenue

The revenue account can be divided into subaccounts in a variety of different ways. For example, a car dealership might break revenue into three areas:

- New car sales
- Used car sales
- Service department

Such a breakdown of the sales account would allow management to see from where the most revenue is coming. Does it make sense to hire more salespeople or service people? Should they continue to sell used cars or just focus on new cars?